

Customer Shopping Behavior Analysis

Date: July 14, 2026

To: Management Team

Subject: Analysis of Customer Purchasing Trends and Strategies for Retention

1. Executive Summary

In response to recent trends of declining customer retention and inconsistent sales growth, an in-depth analysis of our customer shopping behavior was conducted. The dataset comprises 3,900 customer transactions generating a total revenue of **\$233,081**.

The analysis reveals significant demographic skews (male customers generate more than double the revenue of female customers), a heavy reliance on the "Clothing" category, and a mediocre average customer satisfaction rating. By addressing these key areas, the company can stabilize sales growth and improve customer retention.

2. Key Findings & Data Insights

A. Overall Performance Metrics

- **Total Customers/Transactions:** 3,900
- **Total Revenue:** \$233,081
- **Average Purchase Value:** \$59.76
- **Average Customer Rating:** 3.75 / 5.00

B. Demographic Trends: The Gender Gap

There is a massive disparity in purchasing behavior between genders. Male customers are the primary economic driver for the business.

- **Male Revenue:** \$157,890 (approx. 67.7% of total revenue)
- **Female Revenue:** \$75,191 (approx. 32.3% of total revenue)

C. Product Category Performance

Our product catalog's success is heavily skewed toward two main categories, while others underperform.

- **Clothing:** The dominant category in both volume (1,737 purchases) and revenue (\$104,264).
- **Accessories:** Strong secondary performer (\$74,200 revenue; 1,240 purchases).
- **Footwear & Outerwear:** Significantly lagging. Footwear generated only \$36,093, and Outerwear is the weakest at \$18,524.

D. Seasonal Trends

Sales and customer engagement fluctuate throughout the year, but the variance is not drastically volatile.

- **Highest Revenue Season:** Fall (\$60,018)
- **Lowest Revenue Season:** Summer (\$55,777)
- *Note on Loyalty:* Interestingly, while Fall drives the most revenue, Winter and Spring show the highest volume of *previous purchases* by returning customers (Winter: 25,169; Spring: 25,091).

3. Strategic Recommendations

Based on the objective to improve customer retention and stabilize sales, we recommend the following strategic actions:

1. Address the Customer Satisfaction Issue (Urgent)

The average review rating is **3.75 out of 5.0**. In modern e-commerce, this is a dangerous metric that directly explains the declining customer retention mentioned in the problem statement.

- *Action:* Immediately implement post-purchase surveys to identify pain points (e.g., shipping times, product quality, customer service). A customer with a 3.75-star experience is highly likely to churn to a competitor.

2. Capitalize on the Male Demographic while Revitalizing the Female Segment

- *Action (Male):* Since men are driving nearly 70% of revenue, create a dedicated VIP or loyalty program tailored to male shoppers to ensure these high-value customers are retained.
- *Action (Female):* Investigate *why* female revenue is so low. Is the product catalog lacking? Are marketing campaigns skewing too male-centric? Run targeted A/B testing on ad campaigns specifically aimed at female demographics with introductory discounts to capture market share.

3. Cross-Selling to Boost Underperforming Categories

Outerwear and Footwear are significantly underperforming compared to Clothing.

- *Action:* Implement "Shop the Look" bundling. If a customer buys a high-selling Clothing item, offer a slight discount on Footwear or Outerwear at checkout. This will increase the Average Order Value (currently at \$59.76) and move stagnant inventory.

4. Smooth Out Seasonal Dips

Summer is currently the weakest season for revenue.

- *Action:* Launch aggressive "End of Summer" clearance sales or early "Back to School/Fall Preview" campaigns during the Summer months to stimulate cash flow during this lull. Conversely, maximize marketing spend during the Fall to take full advantage of the peak buying season.

4. Conclusion

The data indicates that while the business has a strong core of male shoppers purchasing clothing and accessories, long-term growth is being bottlenecked by low female engagement, neglected product categories, and mediocre customer satisfaction. By shifting focus to post-purchase customer care and targeted cross-selling, the company can easily reverse the trend of declining retention.